

The country that moved the wrong way: what one outlier says about measuring monetary policy

In a study of how ECB monetary policy transmits across thirteen euro-area economies, twelve behave as theory requires: output falls after a contractionary surprise. Greece does the opposite, rising over the first twelve quarters. That single anomaly is worth more attention than it usually gets, because the explanations for it are not statistical accidents. They point at a condition, an impaired banking channel, under which standard transmission estimates are likely to mislead, and that condition is neither rare nor confined to Greece.

KEY MESSAGES

- Of thirteen euro-area economies with stable estimates, **twelve show output contracting** after a common contractionary monetary surprise. **Greece does not.**
- The result is unlikely to be a coding error and is better read as a symptom: where the **bank-lending channel is impaired**, the standard identifying assumptions strain.
- Greece's sample period contains a sovereign debt crisis, capital controls and a non-performing-loan burden without parallel in the sample. During those years ECB announcements moved Greek sovereign spreads for reasons unrelated to the policy stance.
- The practical implication is a **diagnostic habit**: cross-country transmission work should report which countries fail the sign check and treat those failures as information rather than as noise to be dropped.

1 The anomaly

The exercise behind this brief identifies monetary policy surprises from high-frequency movements in market rates around ECB announcements [1], estimates a structural VAR for each member state, and compares the resulting impulse responses. Thirteen of nineteen member states yield stable estimates on a sufficient sample. The first thing to check in such an exercise is the sign: a contractionary surprise should reduce output. Twelve countries pass. Greece returns a small positive output response over roughly the first twelve quarters.

The routine response is to note the exception, drop it in a robustness check, and move on. That is defensible, and the main results here do survive dropping any single country. But treating the anomaly only as a threat to the headline estimate wastes it, because **the plausible explanations are economically substantive** and each of them has implications beyond one country.

FIGURE 1 — insert the country-level impulse responses from the thesis (Figure 3, p. 22), with Greece highlighted

Figure 1. Output responses to a one-basis-point contractionary monetary surprise across the thirteen economies with stable estimates. The broadly shared contraction is what identifies the shock; the single line that rises is Greece.

2 Four explanations, in order of how seriously they should be taken

A broken transmission channel. The channels through which policy reaches activity are mostly bank-intermediated: the bank-lending channel through deposit-funded loan supply, the balance-sheet channel through collateral values, the deposits channel through the spread banks charge when the policy rate rises [2],

[3]. Each assumes a banking system capable of expanding and contracting credit in response to policy. A system carrying a large stock of non-performing loans and constrained capital does not behave that way. Credit supply is determined by balance-sheet repair rather than by the policy rate, and the estimated response to policy becomes a residual of other forces.

A contaminated shock. High-frequency identification assumes the surprise component of an announcement is exogenous to conditions in any individual member state. For most of the sample and most countries that is reasonable. For Greece in the crisis years it is strained: ECB announcements moved Greek sovereign spreads through the availability of liquidity and collateral eligibility, channels which had first-order effects on Greek activity and which have nothing to do with the intended policy stance. The measured shock is then partly a shock to Greek funding conditions, and its sign need not follow the aggregate.

A regime that is not one regime. The estimation treats the sample as a single data-generating process. Greece over this period plainly is not. Capital controls, a banking-sector recapitalisation and an output collapse of a magnitude absent elsewhere in the sample mean the average relationship estimated over the whole period may describe no actual period well.

Small-sample imprecision. The least interesting explanation and the one that cannot be excluded. Country-level VARs on quarterly euro-area data have short samples; a single perverse response is not extraordinary. This possibility is why the brief argues for a reporting habit rather than a conclusion.

3 Why this matters beyond Greece

Three conclusions follow, and none of them requires resolving which explanation is correct.

First, **sign-check failures are findings and should be published as such**. The convention of relegating them to an appendix means the literature systematically discards information about where its own assumptions break down. A cross-country transmission paper that reports which countries fail, and why it thinks they failed, is more useful than one reporting a tighter average.

Second, the condition implicated here is **not confined to one country or one crisis**. Impaired bank balance sheets, high non-performing-loan ratios and thin capital markets describe several economies in and around the euro area, including candidate countries preparing for eventual adoption. If bank impairment breaks the estimated response to policy, then transmission estimates produced for those economies during or shortly after a banking crisis should carry a warning, and accession assessments that lean on such estimates should say so.

Third, and more constructively, this points toward an **interaction worth estimating directly**. If the bank channel is the mechanism, then measures of banking-sector health, non-performing loans, capital ratios, credit growth, ought to condition the strength of transmission in the same way payment structure appears to. That is a testable proposition on existing data and a natural extension of the design used here.

WHAT THIS BRIEF DOES NOT CLAIM

This is **one country**. Nothing here establishes that bank impairment caused the anomalous response, only that it is the most economically plausible of the available explanations and that the alternatives are testable.

The four explanations are **not mutually exclusive** and this brief does not attempt to separate them. Doing so would require a regime-switching specification or a sub-sample design that the country-level sample length does not comfortably support.

The estimates are drawn from a bachelor's thesis using a common cross-country specification, not from a design built to study Greece. A paper about Greece would make different choices, and would probably find more.

REFERENCES

[1] Altavilla, C., Brugnolini, L., Gürkaynak, R. S., Motto, R., & Ragusa, G. (2019). Measuring euro area monetary policy. *Journal of Monetary Economics*.

[2] Mishkin, F. S. (1995). Symposium on the Monetary Transmission Mechanism. *Journal of Economic Perspectives*.

[3] Drechsler, I., Savov, A., & Schnabl, P. (2017). The Deposits Channel of Monetary Policy. *Quarterly Journal of Economics*.

[4] Almgren, M., Gallegos, J.-E., Kramer, J., & Lima, R. (2022). Monetary policy and liquidity constraints: evidence from the euro area.

[5] Mandler, M., Scharnagl, M., & Volz, U. (2016). Heterogeneity in euro-area monetary policy transmission. Deutsche Bundesbank discussion paper.

Before this goes anywhere. Insert Figure 3 from the thesis (p. 22) and highlight the Greek line so the anomaly is visible at a glance. Add the exact Greek cash share and the magnitude of the positive response from your own output, since both are currently described qualitatively. Check whether capital controls and the recapitalisation dates actually fall inside your estimation window before asserting they do, and cite a source for the non-performing-loan burden if you keep that sentence. Copy the full reference entries from the thesis bibliography. Then rewrite Section 2, because ranking the four explanations is a judgment call and it has to be yours.